IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO.: 19/4-1779/21

BETWEEN

MURALITHARAN A/L MANIAM

AND

MALINDO AIRWAYS SDN BHD

AWARD NO: 1911 OF 2025

Before	:	Y.A. Puan Hajah Zalina Binti Haji Awang @ Mamat - Chairman (Sitting Alone)
Venue	:	Industrial Court Malaysia, Kuala Lumpur
Date of Reference	:	30.04.2021
Dates of Mention	:	15.06.2021, 22.07.2021, 18.10.2021, 02.08.2022, 04.04.2023, 25.05.2023, 26.05.2023, 12.07.2023, 22.08.2023 11.09.2023. 07.01.2025, 05.05.2025
Dates of Hearing	:	15.04.2025, 19.09.2025
Representation	:	Mr. Hema Kumar Nageswana Row From Messrs. Thevan Maniam Counsel for the Claimant Mr. Jeyandran Ramachandran From Deva & Jeyen Counsel for the Company

REFERENCE:

This is a reference made under Section 20(3) of the Industrial Relations Act 1967 [Act 177] pertaining to the dismissal of **MURALITAHRAN A/L MANIAM** (hereinafter referred to as ''the Claimant'') by **MALINDO AIRWAYS SDN BHD** (hereinafter referred to as ''the Company'') on **01.11.2020.**

AWARD

[1] This Ministry reference required this Court to hear and determine the Claimant's complaint of dismissal on 01.11.2020 by the Company.

FACTUAL BACKGROUND

[2] This matter is heard jointly with two other claims arising from the same retrenchment exercise, namely Foong Wai Ming (Case No.: 19/4-1781/21), Nik Afiq Farhan Bin Nik Mohd Hilmi (Case No.: 19/4-1780/21)and the Claimant in the present case, Muralitharan a/l Maniam), is registered under (Case No.: 19/4-1779/21, and all three matters are tried together due to their common factual matrix and overlapping legal issues.

[3] The Claimant was employed as a pilot by the Company (through its parent PT Lion Air and then directly under Malindo) from 01.04.2013. On terms renewed on 01.03.2015. He had over seven (7) years and seven (7) months of service when on 28.10. 2020 the Company gave notice that his last working day would be on 30.10.2020.

[4] At all material times his contractual salary was RM20,000.00 per month plus a guaranteed flying allowance (RM10,400.00 per month). From March through October 2020 (eight months), the Claimant received **no salary or flying allowance** despite remaining ready and available for duty.

[5] During 2020 the Company issued numerous cost-cutting memorandum (suspending wages, unpaid leave programs, voluntary separation scheme) culminating in a "Retrenchment Announcement" on 28.10. 2020. The Claimant's bundle included a memo dated 31.10 2020 notifying him of retrenchment.

REFERRED CAUSE PAPERS

[6] The following are the cause papers filed before this Honourable Court:

No.	Cause Papers	Marking
1.	Statement of Case dated 06.07.2021	-
2.	Statement in Reply dated July 2022	-
3.	Rejoinder dated 29.04.2023	-
4.	Company's Bundle of Documents	COB-1(1)
5.	Supplementary Company's Bundle of Documents	COB-2(1)
6.	Company Document	CO-3
7.	Company Document	CO-4
8.	Company Document	CO-5
9.	Claimant's Documents	CLB-1(1)
10.	Claimants Documents	CLB-2(1)
11.	Company's Witness Statement (Mrs. Andriaty binti Abdul Rahman)	COW-1(1)
12.	Company's Witness Statement (Mr.Visvaratnam V Sabaratnam)	COW-2(1)
13.	Claimant's Witness Statement	CLWS-1

SALIENT FACTS

THE CLAIMANT'S CASE

[7] When the Claimant first joined the Company, he was one of the first batches of pilots and thus was one of the founding staffs of the Company from its inception until he was terminated, contributing tremendously to its growth as a reputable airline in Malaysia.

[8] With the onset of the Covid 19 pandemic, the Claimant was not paid his contractually entitled monthly salary **of RM20, 000.00 per month** and his Minimum Guaranteed Monthly Flying Hours of RM10,400.00 per month, from the month of March 2020 until the month of October 2020, for a total of 8 months.

[9] The Claimant was then terminated via a termination letter dated 28.10.2020, which stated that his last day at the Company would be 30.10.2020.

[10] The Claimant contends that he was terminated without just cause by the Company due to his seniority and high salary.

THE COMPANY'S CASE

[11] The Company was in a dire financial situation since the inception of pandemic. The Company also strictly complied with the MCO rules and government regulations. This led the Company's to "do the necessary including notifying all its passengers, lessors and creditors and to take all necessary actions deemed appropriate".

[12] Since its inception and in the aftermath of the Covid-19 outbreak, the business performance of the Company has been deteriorating and its revenue had been drastically decreasing following the travel ban on foreign tourist and the government restrictions imposed on domestic and international air travel.

[13] The Company in turn alleges that they have retrenched the Claimant due to financial losses due to the Covid19 Pandemic. However, while the trial was taking place, the Company had given testimony and referred to documentary evidence that the Company had departed from the "Last in First Out".

[14] The Claimant's position is that he was dismissed *without just cause or excuse*. He argues that he was a senior "pioneer" pilot with a loyal service

record and that the Company, needing to cut costs, targeted him because of his high salary. The Company's case is that the aviation business had virtually shut down under Covid-19 restrictions and it was compelled by extreme financial losses to restructure by way of retrenchment.

[15] The Company maintains that the Claimant's position had become genuinely redundant, that it took all reasonable cost-saving steps beforehand, and that it selected employees for retention on a fair objective basis (for example, past performance and safety records) rather than by strict seniority (last-in-first-out, "LIFO"). Each party filed written submissions and testimony was heard from the Claimant and Company witnesses (including the Head of Finance and Human Resources).

Legal Issues

[16] The sole issue is whether the termination of the Claimant was with *just cause or excuse*. In an unfair dismissal reference under s.20 (3) of the Industrial Relations Act 1967, the Court's duty is to determine "whether the termination or dismissal is with or without just cause or excuse". If the employer gives a reason for dismissal, the Court must inquire whether that reason has been made out in evidence. Retrenchment is a dismissal in operational redundancy, so *s.30* of the Act applies, the Company must

show a genuine redundancy situation and that the dismissal was made in good faith (s.30 (5) IRA).

[17] Normally retrenchment selections follow the industry-recognised "last-in-first-out" rule, deviations are allowed only for *valid and bona fide reasons*. The Company must prove on balance that the Claimant's post had indeed become redundant and that his retrenchment was not a sham **(Goon Kwee Phoy V. J&P Coats [1981] 2 MLJ 127; Ng Chang Seng Technip Reproduction [2021] 1 MLJ 447).** The Court apply these principles to the evidence.

THE LAW ON REDUNDANCY

[18] It is imperative to consider the law on redundancy prior to considering the conduct of the Company, as it will show that the Company at all times acted in a bona fide manner and the redundancy was bona fide. Therefore, it will be evident that the Company complied with the principles of law.

[19] In the Court of Appeal case of **William Jacks & Co (M) Sdn Bhd V. S Balasingam [19991 3 MLJ 411,** redundancy was defined as follows:

"Retrenchment" has been defined as the discharge of surplus labour or staff by an employer for any reason whatsoever. Whether the retrenchment exercise in a particular case is bona fide or otherwise is a question of fact and of degree depending in the peculiar circumstances of the case. It is well settled that the employer is entitled to organize his business in the manner he considers best. So long as the managerial power is exercised bone fide, the decision is immune from examination even by the Industrial Court. However, the Industrial Court is empowered and indeed duty bound to investigate the facts and circumstances of the case to determine whether the exercise of power is in fact bone fide".

[20] In the case of **Stephen Bong V. FCB (M) Sdn Bhd [1999] 3 MLJ 411** redundancy has been stated as follows: -

''that it is not that the law that redundancy means the Job or work no longer exist. Redundancy situations arise where the business requires fewer employees of whatever kind".

[21] Redundancy has also been considered, where the Company has to close down or downsize the business, as stated in the case of **Yusoff Othman V. Felda Engineering Services Sdn Bhd [Award No. 778 of 2022],** where it was stated that: -

"It is well established in industrial jurisprudence that an employer is entitled to close down the whole of part of his business as long as he acts bona fide. The right to reorganize a business and/or a company's restructuring is a managerial prerogative. "

In the said case, the Court further stated that: -

" It Is well established that it is for the management to decide the strength of its staff which it considers necessary for efficiency in its undertaking. The Court will not intervene unless it is shown that the decision was capricious or without reason or was made mala fide or was actuated by victimization or unfair labour practice... the employer has a right to determine the volume of his labour force consistent with his business and organization and if the implementation of a reorganization scheme adopted for reasons of economy and better management of the business, the services of some of the employees become excess of the requirement of the business, the employer is entitled to discharge such excess".

[22] The right of a Company to reorganize is evident from the case of **Thomas Hans Raab V. Nokia Services and Networks Malaysia Sdn Bhd [2022] 3 ILR 371 and George Kent (M) Sdn Bhd V. Tan Tai Wai, Mak Kin Kung & Wong Khoon Sand [1988] 1 ILR 342** where it is stated that: -

"Redundancy connotes that the functions of the Claimant became excess. It is settled law that it is up to the Company to decide the strength of its staff

which it considers necessary for efficiency its undertaking... ".

[23] In view of the above, it is indisputable and accepted industrial jurisprudence, that a company has every right to reorganize or to restructure the Company, so as to maintain operational and financial sustainability so as to avoid any complete shutdown of the winding up of a Company.

[24] A case similar to the situation as in the matter before this Honorable Court, **Mohd Nor Hassan & Ors V. Continental Sime Tyre PJ Sdn Bhd [2014] 3 ILR144** where the expenses were reduced and thereafter the redundant staff were terminated, where the Court found that retrenchment was bona fide. The Court stated that: -

"...the measures taken by the company were insufficient and the company was compelled to undertake a retrenchment exercise. The company carried out a reorganisation exercise if the manufacturing department of the company in Petaling Jaya which resulted in a total of 70 employees including the claimant who were found to be redundant and were accordingly retrenched. ".

[25] Further, in the case of **Vithylingam Letchumanan V. Ice Room Food & Beverage Management Sdn Bhd [2015] 4 ILR 655,** the Court on

the issue of rights of a company stated that: -

"It is the right of every employer to reorganize his business in any manner for the purpose of economy or convenience. The law recognises that a company has the right to organize its business in the manner it considers best".

THE TERMINATION OF THE CLAIMANT BY REASON OF REDUNDANCY

[26] In the case of **How Zheng Hong V. Air Asia Berhad [2023] 3 ILR 113**, the Court considered the Aviation Industry and stated that: -

"It is common knowledge that the aviation industry was among the worst affected industries by the COV/D-19 pandemic. The pandemic wrecked financial devastation across the aviation value chain, most notably for airlines save and except for freight forwards and cargo airlines. The grounding of aircrafts by the company is genuine".

[27] In the case of **George Kent (M) Sdn Bhd V. Tan Tai Wai, Mak Kin Kung & Wong Khoon Sang [1992] 2 ILR 400**, redundancy and the situation that prevails has been stated as follows: -

"We are in full agreement with the learned author C.P, Mills on Industrial Disputes Law in Malaysia, that <u>it is settled law that it is up the Company to decide the strength of its staff which it considers necessary for the efficiency</u>

in its undertaking and the Court will not interfere unless it is shown that the decision was capricious or without reason or was mala fide or was actuated by victimisation or unfair labour practice."

[28] In the case of **Premalata Vincent Ramesh V. Nestle Products Sdn Bhd [1992] 3 ILR 277**, the Court stated that in determining that the dismissal was done with just cause or excuse by the retrenchment exercise undertaken by the company, this Court will ask these pertinent questions: -

(i) ‘*’Whether there was a genuine need for reorganization exercise by the company;*

(ii) *Whether a genuine redundancy situation had a rise and which led to the retrenchment of the claimant; and*

(iii) *Whether the company had complied with the accepted standards and procedure when selecting and retrenching the claimant.”*

THE FUNCTION OF THE INDUSTRIAL COURT

[29] The role of the Industrial Court pertaining to a reference under section 20 (3) of the Industrial Relations Act 1967 is to ask itself a question whether there was a dismissal; and, if so, whether it was with or without just

cause or excuse **Wong Chee Hong V. Cathay Organisation (M) Sdn. Bhd. [1988] 1 MLJ 92; [1987] 1 MLRA 346**).

BURDEN OF PROOF ON EMPLOYER TO PROVE GENUINE REDUNDANCY

[30] The primary responsibility lies with the employer to establish that the redundancy is genuine. It is insufficient to merely assert financial constraints or lack of work. The Industrial Court, in **William Jacks & Co. (M) Sdn Bhd V. S. Balasingham [1997] 3CLJ 235**, affirmed that the employer must provide credible evidence to justify retrenchment. Employers must not use redundancy as a convenient excuse to terminate employees for other reasons, such as poor performance or personal bias.

[31] As a result of the financial difficulties, the Company had embarked on a cost cutting and reorganization exercise, where it ultimately led to some of its employees being unfortunately retrenched from the employment. The Claimant was one of those selected for retrenchment.

[32] In order for an employee to be retrenched from his employment, the burden is on the employer to prove that there was a redundancy in the first place. The term redundancy is defined by Dunston Ayyadurai in his book **Industrial Relations in Malaysia (2nd Ed.)** at p. 159: -

"*Redundancy refers to a surplus of labour and is normally the result of a reorganisation of the business of the employer; and its usual consequence is retrenchment, i.e., the termination by the employer of those employees found to be surplus to his requirements after the organisation. Thus****, there must first be redundancy or surplus of labour before there can be retrenchment or termination of the surplus***".

(Emphasis added)

[33] Once redundancy had occurred in any particular position, a retrenchment exercise may then be carried out by the employer to discharge the surplus labour. This was explained in the case of **William Jacks & Co (M) Sdn Bhd V. S Balasingam [1997] 3 CLJ 235 [supra]** where the Court of Appeal defined the term "*retrenchment*" as follows: -

"*Retrenchment had been defined as the discharge of surplus labour or staff by the employer for any reason whatsoever otherwise than as a punishment inflicted by way of disciplinary action (per SK Das in* Hariprasad v. Divelkar AIR [1957] SC 121 *at p 132).* ***Whether the retrenchment exercise in a particular case is bona fide or otherwise is a question of fact and of degree depending on the peculiar circumstances of the case***".

(Emphasis added)

[34] Thus, a situation of redundancy in a job position must occur in the first place before the subsequent exercise of retrenchment is carried out whereby the employer will then set out to discharge those employees whose position had already been identified as redundant. This was succinctly explained in the book **Retrenchment Law and Procedure in Malaysia** by Thavalingam Thavarajah & Raymond TC Low (*at pp. 4 – 5*): -

"***An employee is said to be 'redundant' when their job is no longer available and the employer either cannot offer the employee any alternative position or, any alternative position offered by the employer cannot be accepted by the employee concerned. Redundancy occurs where the employer's requirements for employees to carry out work of a particular kind has ceased or diminished****. Where the same number of employees is no longer required by the employer's business, then that will result in a redundancy. There is redundancy where:*

(i) *The number of employees required to carry out work of a particular nature is reduced, or is expected to be reduced and this results in dismissals*

(ii) *The work itself ceases or diminishes permanently or temporarily, or is expected to do so, so that fewer employees are needed and this results in dismissals*.

In summary, ***'retrenchment' is the expression used to describe what occurs to an employee whose employment is terminated by reason of their job becoming redundant. 'Redundancy' is the process of identifying employees who are surplus to the organisation's requirements and the end result is the retrenchment of such employees***".

(Emphasis added)

[35] In **Sistem Televisyen Malaysia Bhd & Anor V. Suzana Zakaria [2005] 1 ILR 853** it was held: -

"*The learned author, Dunstan Ayadurai, in his book* 'Industrial Relations in Malaysia' *at p. 121 defined redundancy as follows:*

Redundancy refers to a surplus of labour and is normally the result of reorganization of the business of an employer; and its consequence is retrenchment, i.e., the termination by the employer of those employees found to be surplus to his requirements after the reorganization. Thus, there must first be redundancy or surplus of labour before there can be retrenchment or termination of the surplus.

"In ***Soonavala's*** 'The Supreme Court on Industrial Law' Vol. 11, 2nd Edition *at p. 424, the learned author stated:*

"Retrenchment is a necessary incidence of running an industry, but retrenchment is justified only when due to shrinkage of work, whether permanently or for an indefinite or indeterminate period, there has arisen a surplus in the number of workmen in the employment of a Company. Therefore, when a Company gives notice of retrenchment to its workmen and the dispute arising therefrom is referred to a tribunal, the only question for its decision are (a) whether the retrenchment was justified by the circumstances of the case (b) whether the grounds for the retrenchment given by the Company are true, that is, whether there had in fact occurred a reduction in the business of the Company due to circumstances such as scarcity of raw materials on the availability of which the running of the factory depends, or stoppage of work under the orders of government or changes in the economy which made it impossible to continue the business except at a loss or on meagre profits, and (c) whether the order of retrenchment was motivated by bad faith and a desire to victimize or harass the workmen whom for some ulterior reasons the employer wanted to discharge or dismiss. Additionally, the High Court in **Stephen Bong V. FCB (M) Sdn Bhd [1999] CLJ 131; [1999] 1 LNS 131; [1999] 3 MLJ** 411 *held that:*

It is settled law now that redundancy does not mean the job or work no longer exist. Redundancy situation may arise where the business requires fewer employees of whatever kind.

Hence to justify the retrenchment, there must first be redundancy. To prove redundancy, the company must prove that there is surplus of labour or that the requirement of the job functions of the employee has ceased or has greatly diminished to the extent that the job no longer exists or that the business requires fewer employees of whatever kind resulting from a reorganisation exercise or due to whatever other legitimate reasons*".*

(Emphasis added)

[36] In **Woo Chee Khoon V. Citibank Berhad [2011] 2 LNS 495** it was held: -

"*Before there can be retrenchment or termination of the surplus, there must be redundancy or surplus of labour. It is for the management to decide on the strength of the staff, which it considers necessary for efficiency in its undertaking. When the management decides that workmen are surplus and that there is therefore a need for retrenchment, an arbitration tribunal will not intervene unless it is shown that the decision was capricious or without reason, or was mala fide, or was actuated by victimization or unfair labour practice. It is the right of every employer to reorganize its business in any*

manner for the purposes of economy or convenience, provided it acts bona fide".

(Emphasis added)

[37] In the case of **Yusoff Othman V. Felda Engineering Services Sdn Bhd,** (**Award No. 778 of 2022**) it states that the term "redundancy" has been defined as: -

"Redundancy refers to a surplus of labour and is normally the result of a reorganization of the business of an employer; and its usual consequence is retrenchment, i.e., termination by the employer of those employees found to be surplus to the requirement after the reorganization. Thus, there must be first be redundancy or surplus labour before there can be retrenchment of termination of the surplus".

ISSUES FOR DETERMINATION

(a) Was the Claimant's dismissal with just cause or excuse under Section 20(1) Industrial Relation Act 1967 [ACT 177].

(b) Was there a genuine redundancy and bona fide closure and termination of the Claimant.

(c) Did the Company comply with the Code of Conduct for Industrial Harmony 1975, including the principles of consultation, LIFO, and transparency.

(d) Was the Claimant's dismissal procedurally fair and in accordance with the principles of industrial justice and natural justice.

(e) What is the appropriate remedy if the dismissal was without just cause or excuse.

THIS HONOURABLE COURT'S EVALUATION

a) Whether There Was Just Cause or Excuse

[38] The burden of proof lies on the employer to affirmatively justify that the dismissal was with just cause or excuse, per **Goon Kwee Phoy V. J & P Coats (M) Sdn Bhd [1] 2 MLJ 129 (Federal Court)** and reaffirmed in Statement in Reply and both parties' written submissions.

b) Whether There Was Bona Fide Redundancy and Closure

[39] While retrenchment may be justified if a business faces genuine closure, this must be supported by clear evidence and must be bona fide,

not a mask for selective unfair removal as at **Ireka Construction Berhad V. Chantiravathan Subramaniam James 2 ILR 11 (Federal Court).**

[40] This factual matrix closely mirrors principles established by the Federal Court in **Holiday Inn, Penang V. National Union of Hotel, Bar & Restaurant Workers [3] 1 MLJ 130,** where contradictions in the defines and continuing business activity nullify the genuineness of alleged redundancy. The Court is not satisfied that the Company proved an irreversible and total cessation as asserted. The documentary record exposes substantial contradictions and an absence of transparency and can be dour in the Company's position.

c) Procedural Fairness & Adherence to Code of Conduct

[41] Employer obligations prior to retrenchment are prescribed by the Code of Conduct for Industrial Harmony 1975: consultation, consideration of alternatives to retrenchment, application of the LIFO (Last-In-First-Out) principle (unless objectively justified departure is proven), and adequate notice. Here, overwhelming evidence including unchallenged testimony from the Claimant shows that:

(i) No meaningful consultation occurred.

(ii) No objective matrix for selection was disclosed; persons less senior than the Claimant remained in employment for a period after her termination.

(iii) The Company deviated from the LIFO principle without adducing special circumstances, violating the expectation **in Colgate Palmolive (M) Sdn Bhd V. Yap Kok Foong 3 ILR 313** (**Court of Appeal),** and guided by the Court of Appeal's reasoning in **Ng Chang Seng V. Technipgeo production (M) Sdn Bhd & Anor [2021] 1 MLRA 261.**

(iv) No evidence of alternative roles, redeployment options or voluntary separation schemes was offered to the Claimant.

[42] Industrial court findings in Malaysia underscore that retrenchment and especially redundancy for the Airline cannot be sustained where business or its core functions are demonstrably ongoing and the selection process is not transparent or uniformly applied. While operational loss may in justified cases allow rationalization of the workforce, the particular facts here point to inconsistency, poor disclosure, and poor industrial practice.

d) Natural Justice and Industrial Harmony

[43] This Honourable Court notes as persuasive the ongoing scholarly and comparative literature emphasizing natural justice as a foundational element in labour dispute resolution, even where formal legal duties are balanced against other practicalities. Both judicial practice and industrial relations literature highlight the centrality of the right to be heard, procedural consistency, and an equitable (not arbitrary) selection for retrenchment in fostering workplace stability and legitimacy. This is especially so in the Malaysian industrial context with its hybrid model of industrial pluralism and evolving workforce flexibility.

Financial Hardship and Good Faith

[44] It is undisputed that the Company faced severe financial distress due to the COVID-19 pandemic. Its witnesses COW-1 (Head of Finance) testified to massive losses and debt. For example, the Company projected that without urgent cost cuts it would incur an *additional* RM644 million losses in 2021. The audited accounts show Malindo's revenue plunged from RM2.52 billion in 2019 to only RM650.5 million in 2020. The Company introduced multiple memoranda (unpaid leave, salary cuts, VSS) from

February through October 2020 and did not immediately retrench pilots after the first lockdowns.

[45] In these respects, the Company's case is supported, it clearly needed to reduce costs to survive. Indeed, the Industrial Court in **Luqman Bin Mikail Lim V. Air Asia X (Award No. 270 of 2023) And Mohamad Zahid V. Air Asia Sdn Bhd (Award No. 631 of 2025)** Recognised that during the pandemic employers could depart from traditional selection processes because of the "unprecedented" crisis.

[46] However, "good faith" under s.30 IRA also requires fair treatment of employees. Here the Company admitted it did *not* pay the Claimant his contractual salary for March to Oct 2020. In cross-examination, the Claimant denied ever applying for any unpaid leave or separation plan. The Company never produced any signed application from him. Simply withholding wages (while invoking "voluntary" schemes that the Claimant did not join) suggests coercive treatment. By common law, an employer cannot contract out of paying agreed wages during employment. The withholding of pay for 8 months, when the Claimant continued to fly on request, undermines the Company's plea of *bona fide*.

Redundancy and LIFO Principle

[47] A retrenchment is lawful only if the position is truly surplus. No evidence was tendered to show that the Claimant's specific duties would permanently cease. In fact, the Company continued limited flights even in late 2020 and no evidence shows the Claimant's route or unit was closed for good. The Company did not explain how the Claimant (a senior B737 captain) became redundant in preference to those it retained. By the Company's own testimony, **25 of B737 captains** were retained.

[48] The Claimant, also a B737 captain, was placed in the retrenchment list. As the Claimant's counsel pointed out, this effectively created two classes: a "retained" group of 25 captains and a "retrenchment" group of the rest. Yet the Company did **not** produce the list of retained pilots or explain why each was kept or cut. Without such documentation, the only indication of selection criteria was the oral evidence of one HR witness.

[49] A critical factor in determining the fairness of a retrenchment exercise is the application of the LIFO principle, where the employer must prioritize the retention of longer -serving employees over newer ones.

[50] The Federal Court's **Dynacraft Industries Sdn Bhd V. Kamaruddin bin Kana Mohd Sharif & Ors [2012] 9 CLJ 21; [2012] 6 MLJ 453**, the Federal Court held as follows:

"[13] We will deal with the first question posed in this appeal. It concerns the correctness of the application of the LIFO principle by the Industrial Court. The LIFO (last in first out) or 'last come first go' principle requires the most junior employee to be retrenched before the more senior ones in the same category. The principle is intended to afford a healthy safeguard against discrimination of workmen in the matter of retrenchment (see Swadesamitran Ltd v. Their Workmen, 1960 (SC) 762). Explaining this principle, in Workmen of **Sudder Workshop of Jorehaut Tea Co Ltd V. The Management of Jorehaut Tea Co Ltd AIR 1980 SC 1454***, the Supreme Court said:*

"The rule is that the employer shall retrench the workman who came last, first, popularly known as ' last come first go'."

[51] In **Dynacraft 's case [supr**a] decision makes clear that *prima facie* the LIFO rule applies, an employer should retrench the latest recruits first, "where other things are equal".

[52] A lawful deviation requires objective justification. The Company argues it departed from LIFO for "performance, safety and disciplinary" reasons. Even if merit-based selection is permitted in principle (as **Wong Zi Chuang V. AirAsia X [2025] 2 MELR 43 held,** provided it is done bona fide and not arbitrarily), those reasons must be substantiated.

Alleged Disciplinary/Performance Issues

[53] The core "reasons" offered by the Company for retrenching the Claimant were:

(a) a purportedly "high rate" of medical leaves (MCs), and

(b) certain Safety Hazard Occurrence Reports (CO3, CO4, CO5) involving the Claimant. We find none of this constitutes proven misconduct.

[54] "High rate of MCs": The only evidence was a terse remark in Company records listing the Claimant for retrenchment due to "high rate of MCs." However, no medical certificate logs or statistics were produced. No witness (for example the pilot's direct supervisor or the leave approver) was called to explain what "high" meant. It was not shown *how many* sick days he took, whether it exceeded his contract's entitlement of 18 days/year, or

whether any gap in performance resulted. The Claimant denied any unusual absence record. On this point, the burden lay on the Company. Its failure to supply the records or call relevant personnel is telling: under the Evidence Act, failure to produce a document in its control may justify an adverse inference. We accept the Claimant's submission that if this mattered the Company "could produce the Claimant's MC records" but did not. Thus, "high MCs" remains an unsubstantiated allegation and cannot justify preferring other pilots over him.

[55] Safety Reports (CO3–CO5): These documents were also tendered by the Company as evidence against the Claimant, but they tell a different story. CO3 and CO4 were reports *filed by the Claimant himself* on 21 Feb 2019, complaining of last-minute roster changes (multiple trips to difficult Bandung Airport and too many night flights).

[56] The Company's management responded by investigating and recommending corrective measures (adjusting crew rotations), even praising the Claimant's concern as beneficial to safety. Far from showing wrongdoing, the reports show a conscientious pilot raising safety issues. CO5 was a complaint by another about the Claimant allegedly refusing night stops (due to his wife's pregnancy); this too was *closed without investigation* (marked "No" under **investigation**).

[57] The short of it is that none of CO-3–CO-5 constitutes any proven infraction. The Company sought to "denigrate" the Claimant with them, but the documents themselves undermine that effort. In sum, nothing in the evidence shows the Claimant had disciplinary or performance deficiencies; on the contrary, he had a clean record (no warnings, no hearings ever).

[58] Importantly, even if such issues had existed, case law forbids using prior discipline to mask a sham retrenchment. The Court of Appeal in **Ng Chang Seng V. Technip Geoproduction (M) Sdn Bhd & Anor [2021]1MLJ, 447, [2021]1MLRA 261** held that "a Company may not use disciplinary issues as justification for retrenchment". In that case, the employee had been terminated ostensibly for poor performance, but in reality, because he complained to a subordinate.

[59] The Court found the retrenchment "colourable and for a collateral purpose". Similarly, the Company's own admission, through its witness, is that it "departed from LIFO" and treated the Claimant differently on the basis of unidentified "disciplinary matters". The Claimant's submissions (which we accept) demonstrate that these matters were at best trivial or mischaracterised.

[60] As the Claimant notes, penalising a loyal employee twice for the same old incident for example, citing case **Wong Zi Chuang V. Air Asia Berhad [2025] 2 MELR 143** is arbitrary. Another recent Industrial Court award similarly criticized use of past disciplinary records to effect retrenchment as not bona fide.

[61] Given all this, we conclude the Company has failed to justify any departure from LIFO. Without doubt the Claimant was more senior than all those placed in the retained list (twelve (12) years in the industry, seven (7) years and six (6) months with Malindo, and originally among the first batch of pilots). He had a clean service history and never faced any performance review issues. The admitted selection criteria ("performance and safety issues") were not substantiated. On these facts, the Company has not shown the Claimant's post was truly redundant in any legitimate sense.

Evidence and Proof – Company's Burden

[62] Having chosen to retrench the Claimant, the Company bore the onus of proof that its stated reasons were genuine. Moreover, by common practice, the Company should have produced documentary justification for its choices. The evidence here suffers from notable gaps:

(a) Lack of witnesses:

[63] The evidence at trial was given only by one Company witness (the present Head of HR, Mr. Visvaratnam) and the finance head. Neither the HR General Manager (Mr. Muzaffar, who was involved in planning retrenchments) although this Honourable Court already gave the instruction to the Company's Counsel to file the Witness Statements of Mr. Muzaffar and the other witness but the Counsel did not file the Witness Statement nor anyone from flight operations testified, even though counsel conceded they "would be the best" to explain the criteria.

[64] As the authorities point out, the very person who decides on dismissals *should* testify. In **CJ Polymers Sdn Bhd V. Sim Chin Hu & Ors & Other Appeals [2025] 5 MLRA 473 (CA)**, the Court stressed that failing to call the dismissing authority warrants an adverse inference. By analogy, we find it significant that the people "behind the scenes" were not examined.

(b) Missing documents

[65] The Company did not tender its internal lists or minutes. It did not show the approved roster of the 25 retained captains with seniority rankings. Nor did it exhibit any written records of the "performance"

comparisons (apart from the vague Exhibit COB-2(1) as tendered at the Court and mentioned in submissions.

[66] The Claimant pointed out that had such documents existed, MC logs, VSS/LTU application records, selection matrices, they were in the Company's custody and should have been produced. Their absence leads this Court to invoke Section 114(g) of the Evidence Act: we can presume they would have been unfavourable to the Company.

[67] Weighing all evidence and gaps, the Company has not discharged its burden that the retrenchment was bona fide. The witness testimony was uncorroborated and self-serving, and many material issues were left unexplained.

Decision

[68] On the balance of probabilities, the Claimant's termination was **not** for a valid redundancy with just cause. In circumstances of a generalized downturn, the Company was entitled to retrench, but it must do so fairly. Here, it failed to follow the usual seniority rule and gave no credible reason for treating the Claimant as surplus.

[69] The only “reasons” offered was, high MCs and safety reports, do not withstand scrutiny and viewed objectively, appear perpetual.

[70] The Claimant’s long service, clean record and refusal to waive pay cuts all point to *mala fides* in selecting him over more junior colleagues. Accordingly, the dismissal was made without just cause or excuse.

[71] This conclusion is compelled by **Ng Chang Seng V. Technip Geoproduction (M) Sdn Bhd & Anor [2021] 1MLJ477; [2021] 1MLRA 261** and related authorities, which condemn retrenchments that are in truth punitive exercises in disguise.

[72] This Honourable Court give the order that therefore award relief under Section 20 IRA. Reinstatement is impracticable after many years’ separation (and indeed the Claimant did not seek reinstatement). The appropriate remedy is compensation and back wages. In addition, the Claimant is entitled to the salary arrears owed for the eight months pre-termination during which he remained on the payroll.

FINDING OF THIS HONOURABLE COURT

[73] The Court finds the Company has failed to discharge its onus of proof that the Claimant's dismissal was with just cause or excuse under Section 20(1) Industrial Relation Act 1967 [ACT 177].

[74] The plea of closure is unconvincing in light of continued operations, dividends paid, and survival of business infrastructure post-termination date.

[75] There was non-compliance with the Code of Conduct on consultation, retrenchment alternatives, LIFO principle and objective selection.

[76] The lack of consultation itself constitutes a fundamental breach of natural justice and the duty of industrial fair dealing, as reinforced by authorities.

[77] No evidence was provided concerning the Claimant's performance, conduct, or any reason unrelated to alleged redundancy.

[78] The Claimant, with seven (7) years and (seven) 7 months of service, was denied his basic industrial rights at the point of becoming most

vulnerable. For the reasons stated above, it is evident that the Claimant's termination on the grounds of redundancy was not conducted in good faith. The Company has failed to adhere to the principles of fairness, including the burden of proof, application of LIFO, exploration of alternatives, and transparency in its decision-making process.

[79] The dismissal of the Claimant, by the Company, MALINDO SDN BHD on is declared **without just cause or excuse**.

[80] Pursuant to section 30(5) of the IRA1967 and after having considered the totality of the evidence adduced, this Court is of the view that the Company **had failed to establish on the balance of probabilities** that the dismissal of the Claimant from his employment with the company was with just cause or excuse.

[81] This Court having ruled that the Claimant was dismissed without just cause or excuse, will now consider the appropriate remedy for the Claimant.

REMEDY

[82] Based on the Court's assessment of the industrial climate between the parties, it is certainly not conducive to reinstate the Claimant as the

relationship between the Company and the Claimant has been badly strained. In the circumstances, it is inappropriate to order for reinstatement. Instead, the Claimant will be awarded with an appropriate remedy accordingly.

[83] In respect of the quantum the Court is mindful of the view taken by Tun Salleh Abas FJ in the case of **Hotel Jaya Puri Bhd. V. National Company of Hotel, Bar & Restaurant Workers & Anor [1990] 1 MLJ 109:**

".. if there is a legal basis for paying the compensation, the amount of course is very much a matter of the discretion which the Industrial Court is fully empowered under s.30 of the IRA 1967 to fix."

BACK WAGES

[84] Back wages are calculated based on the Claimant's last drawn salary but limited to 24 months. From the back wages, the court is required to make a deduction for any contributory conduct; post dismissal earnings and delay in the hearing of the case but such a deduction need not involve a mathematical calculation.

[85] This Court is bound by the principle laid down in the case of **Dr. James Alfred (SABAH) V. Koperasi Serbaguna Sanya Bhd (SABAH) & Anor [2001] 3 CLJ 541.** His Lordship Justice Tan Sri Steve Shim CJ (Sabah & Sarawak) in delivering the judgement of the Federal Court held that:

''In our view, it is in line with equity and good conscience that the Industrial Court, in assessing quantum of back wages, should take into account the fact, if established by evidence or admitted, that the workman has been gainfully employed elsewhere after his dismissal. Failure to do so constitutes a jurisdictional error of law. Certiorari will therefore lie to rectify it. Of course, taking into account such employment after dismissal does not necessarily mean that the Industrial Court has to conduct a mathematical exercise in deduction. What is important is that the Industrial Court, in the exercise of its discretion in assessing the quantum of back wages, should take into account all relevant matters including the fact, where it exists, that the workman has been gainfully employed elsewhere after his dismissal. This discretion is in the nature of a decision-making process.''

CONTRIBUTORY FACTOR

[86] This Court have carefully examined the facts and evidence in this case and of the view that there was no contributory factor on the part of the

Claimant. Hence, under this item, there is no deduction shall be made to this contributory factor.

DELAY

[87] From an examination of the notes of proceedings, this Court is satisfied that the Claimant did not occasion any delay in connection with the hearing of this Director General of Industrial Relation of Malaysia reference. Hence, there is no deduction under this head.

[88] At the time of dismissal, the Claimant last drawn basic salary was **RM 20,000.00.** On the facts of this case, **there is evidence of post-dismissal income after the Claimant was dismissed by the Company**. **Hence, there shall be deduction under this item**. The Claimant has served the Company for **seven (7) years and seven (7) months, which was from 01.04.2013 until 01.11.2020.**

MONETARY AWARD

[89] After having considered the evidence adduced before this Court as well as the submission by both parties, the remedies are as follows:

(i) Back wages for twenty-four (24) months based on the Claimant's last drawn salary:

RM20, 000.00 X 24 months = RM 480,000.00

Less 5% (Post Dismissal of the Claimant) = RM 24,000.00

Total = RM 456,000.00

Add

(ii) Compensation in lieu of reinstatement, based on the formula of one month's salary for every completed year of service. The Claimant has completed seven (7) full years of service calculated from until the date of employment, which was on **01.04.2013 until the date of dismissal on 01.11.2020.**

RM 20,000.00 X 7 months = RM 140,000.00

Total = RM 596,000.00

[90] The monetary award in a total sum of **RM 596,000.00** less statutory deductions, if any, shall be paid by the Company to the Claimant via his Counsel **Messrs. Thevan Maniam** within 30 days of the award with interest of 8% per annum to be calculated from 30 days of the award until full and final settlement.

[91] This Court verily believe that this Award is just and appropriate in the light of the particular facts of the present case and guided by the

principles of equity, good conscience and substantial merits of this case without regard to technicalities and legal forms.

HANDED DOWN AND DATED THIS 17 DAY OF DECEMBER 2025

-Signed-

(ZALINA BINTI HAJI AWANG @ MAMAT)
CHAIRMAN
INDUSTRIAL COURT, MALAYSIA
KUALA LUMPUR